For Future Learning

Collect advertisements of three different companies inviting the public to subscribe their shares. Compare their contents regarding following points

Articles	Company A	Company B	Company C
Name			
Objectives			
Types of shares to be subscribed			
Total amount of issue			
The issue price of each share			

Case Study

Case 1: Ashok is an industrial designer by training. He had the opportunity to learn the technology of fibre glass manufacture while he was in Germany for his training. He plans to set up a plant for the manufacture of fibre glass in India and is able to interest some financiers and technologists. It is estimated that the initial investment in the plant will be of the order of ₹50 lakhs. Ashok and others decide to set up a company for the purpose.

Should they set up a public limited company for the purpose? If so, how should they go about it? If not, what alternative would you suggest? What formalities will be required of Ashok and his associates if they choose the alternative form of organization suggested by you?

Case 2: Collect any 10 items of daily use (Packed items) and list the names of the companies manufacturing those items. Classify those companies as public and private limited companies. Which of them are Multinational Companies?

Exercise

8TCFZZ

I. Choose the Correct Answer

1. **The relationship between outsiders and the company is defined in _____**
   a) Prospectus
   b) Articles of Association
   c) Memorandum of Association
   d) Certificate of Incorporation

2. **Table A of the Companies Act is a _____**
   a) Model minutes book
   b) Model form of Balance Sheet
   c) Model of AOA
   d) Model of MOA

commerce 1-15.indd 58 2/17/2021 4:48:50 PM